

## NOTES TO BASIC FINANCIAL STATEMENTS

For the year ended June 30, 2022

| Description                                 | Interest  | Year of  | Prior Years    | Balance at    | Current Year |            | Balance at    | Interest     |
|---------------------------------------------|-----------|----------|----------------|---------------|--------------|------------|---------------|--------------|
| General Obligation Bonds:                   | Rates (%) | maturity | Issued         | June 30, 2021 | Issued       | Retired    | June 30, 2022 | Paid in 2022 |
| 2021 School Bond                            | 4.0       | 2036     | 4,093,675      | 4,093,675     | -            | -          | 4,093,675     | 178,757      |
| 2021 CIP Bonds                              | 4.0       | 2036     | 13,916,325     | 13,916,325    | -            | -          | 13,916,325    | 607,680      |
| Total general obligation bonds              |           |          | 18,010,000     | 18,010,000    | -            | -          | 18,010,000    | 786,437      |
| Direct Placement (General Obligation):      |           |          |                |               |              |            |               |              |
| 2003 CIP Bonds                              | 2.15-5.45 | 2023     | \$ 1,000,000   | 30,000        | -            | 10,000     | 20,000        | 1,630        |
| 2008 C Pool (OTC) Bonds                     | 2.5-4.55  | 2023     | 662,000        | 308,000       | -            | 21,000     | 287,000       | 13,513       |
| 2012 III Auke Bay Reno & Adair/Kennedy Turf | 2.0-5.0   | 2023     | 114,150,000    | 2,595,000     | -            | 1,265,000  | 1,330,000     | 98,125       |
| 2012 III GO (Refund 03B)                    | 2.0-5.0   | 2023     | 7,415,000      | 2,675,000     | -            | 835,000    | 1,840,000     | 112,875      |
| 2013 I GO CIP Projects Bonds                | 2.0-5.0   | 2033     | 2,600,000      | 235,000       | -            | 115,000    | 120,000       | 9,400        |
| 2013 III GO Auke Bay Sch Bonds              | 1.5-5.0   | 2023     | 7,345,000      | 2,520,000     | -            | 800,000    | 1,720,000     | 102,000      |
| 2014 III CIP GO Projects Bonds              | 1.25-5.0  | 2033     | 11,210,000     | 8,695,000     | -            | 485,000    | 8,210,000     | 422,625      |
| 2016 III/IV CIP GO Projects Bonds           | 1.25-5.0  | 2026     | 2,635,000      | 1,715,000     | -            | 255,000    | 1,460,000     | 78,100       |
| 2016 III/IV GO (Refund 06B TMHS Sch Bonds)  | 2.0-5.0   | 2021     | 17,575,000     | 3,950,000     | -            | 3,950,000  | -             | 79,000       |
| 2018 GO (Refund 08A&B TMHS Sch Bonds)       | 2.85      | 2023     | 5,060,000      | 2,107,000     | -            | 1,039,500  | 1,067,500     | 60,050       |
| 2019 III/IV GO Airport                      | 5.0       | 2029     | 5,125,000      | 4,770,000     | -            | 435,000    | 4,335,000     | 227,625      |
| 2020 I GO Pool (Refund 2010B)               | 5.0       | 2024     | 7,110,000      | 5,815,000     | -            | 1,400,000  | 4,415,000     | 255,750      |
| 2021 GO (Refund 2013I CIP)                  | 0.24-2.22 | 2032     | 1,740,000      | 1,740,000     | -            | 15,000     | 1,725,000     | 26,382       |
| Total general obligation bonds              |           |          | 80,892,000     | 37,155,000    | -            | 10,625,500 | 26,529,500    | 1,487,075    |
| Direct Placement (Revenue):                 |           |          |                |               |              |            |               |              |
| 2013 I Hospital Refunding                   | 2.0-5.0   | 2035     | 23,660,000     | 7,500,000     | -            | 910,000    | 6,590,000     | 289,175      |
| 2014 I Seawalk CIP                          | 2.0-5.0   | 2039     | 6,055,000      | 4,960,000     | -            | 180,000    | 4,780,000     | 224,638      |
| 2015 II Harbor (Refund 2007)                | 2.0-5.0   | 2033     | 7,925,000      | 6,735,000     | -            | 435,000    | 6,300,000     | 302,600      |
| 2015 II Port Expansion Bonds                | 2.0-5.0   | 2034     | 20,595,000     | 15,680,000    | -            | 7,950,000  | 7,730,000     | 607,875      |
| 2019 III/IV Airport                         | 5.0       | 2026     | 15,785,000     | 14,080,000    | -            | 2,070,000  | 12,010,000    | 652,250      |
| 2021 Hospital Refunding (partial 2013I)     | 0.24-2.55 | 2035     | 10,760,000     | 10,760,000    | -            | 90,000     | 10,670,000    | 186,107      |
| 2021 Port (Refund 2015)                     | 5.0       | 2034     | -              | -             | 5,725,000    | -          | 5,725,000     | 142,330      |
| 2022 Hospital Bonds                         | 5.0       | 2041     | -              | -             | 18,775,000   | -          | 18,775,000    | 122,559      |
| Total revenue bonds                         |           |          | 84,780,000     | 59,715,000    | 24,500,000   | 11,635,000 | 72,580,000    | 2,527,534    |
| State of Alaska Extension Loans:            |           |          |                |               |              |            |               |              |
| DEC Wastewater Loan # 445071                | 2.5/15    | 2022     | 400,000        | 40,000        | -            | 20,000     | 20,000        | 600          |
| DEC JDTP Loan # 445091                      | 2.5/15    | 2022     | 1,680,000      | 168,000       | -            | 84,000     | 84,000        | 2,520        |
| DEC MTP Loan # 445101                       | 2.5/15    | 2024     | 1,527,500      | 305,500       | -            | 76,375     | 229,125       | 4,583        |
| DEC Wastewater Loan # 445131                | 2.5/15    | 2023     | 2,065,684      | 309,855       | -            | 103,284    | 206,571       | 4,648        |
| DEC Wastewater Loan # 445141                | 2.5/15    | 2024     | 1,294,482      | 258,898       | -            | 64,724     | 194,174       | 3,883        |
| DEC Water Loan # 445151                     | 2.5/15    | 2023     | 877,334        | 202,462       | -            | 67,487     | 134,975       | 3,037        |
| DEC Wastewater Loan # 445171                | 1.5       | 2032     | 900,512        | 540,356       | -            | 45,029     | 495,327       | 8,105        |
| DEC Wastewater Loan # 445181                | 1.5       | 2032     | 825,000        | 495,006       | -            | 41,250     | 453,756       | 7,650        |
| DEC Water Loan # 445221                     | 1.5       | 2040     | 855,129        | 855,129       | -            | 42,757     | 812,372       | 39,956       |
| DEC Wastewater Loan # 445241                | 1.5       | 2032     | 605,162        | 363,091       | -            | 30,258     | 332,833       | 5,447        |
| DEC Wastewater Loan # 445251                | 1.5       | 2040     | 19,164,096     | 19,164,096    | -            | 958,205    | 18,205,891    | 554,446      |
| DEC Wastewater Loan # 445291                | 1.5       | 2034     | 1,128,276      | 789,792       | -            | 56,414     | 733,378       | 11,847       |
| DEC Water Loan # 445411                     | 1.5       | 2028     | 290,400        | 198,640       | -            | 24,830     | 173,810       | 2,980        |
| DEC Water Loan # 445421                     | 1.5       | 2041     | -              | -             | 3,238,333    | -          | 3,238,333     | -            |
| Total DEC loans                             |           |          | 31,613,575     | 23,690,825    | 3,238,333    | 1,614,613  | 25,314,545    | 649,702      |
| Total long-term debt                        |           |          | \$ 215,295,575 | 138,570,825   | 27,738,333   | 23,875,113 | 142,434,045   | 5,450,748    |

For the year ended June 30, 2022

## NOTES TO BASIC FINANCIAL STATEMENTS

The annual requirements to retire all outstanding debts as of June 30, 2022, are as follows.

| Year ending<br>June 30 | Bonds                |                  |                   | Direct Placement (General Obligation Bonds) |                  |                   | Direct Placement (Revenue Bonds) |                   |                   |
|------------------------|----------------------|------------------|-------------------|---------------------------------------------|------------------|-------------------|----------------------------------|-------------------|-------------------|
|                        | Principal            | Interest         | Total             | Principal                                   | Interest         | Total             | Principal                        | Interest          | Total             |
| 2023                   | \$ -                 | 720,400          | 720,400           | 7,018,500                                   | 1,097,860        | 8,116,360         | 5,265,000                        | 3,091,431         | 8,356,431         |
| 2024                   | -                    | 720,400          | 720,400           | 4,726,000                                   | 800,155          | 5,526,155         | 5,720,000                        | 2,850,857         | 8,570,857         |
| 2025                   | 215,000              | 720,400          | 935,400           | 3,165,000                                   | 607,808          | 3,772,808         | 5,990,000                        | 2,574,330         | 8,564,330         |
| 2026                   | 745,000              | 711,800          | 1,456,800         | 1,600,000                                   | 495,811          | 2,095,811         | 5,190,000                        | 2,288,361         | 7,478,361         |
| 2027                   | 810,000              | 682,000          | 1,492,000         | 1,680,000                                   | 420,720          | 2,100,720         | 6,490,000                        | 2,025,663         | 8,515,663         |
| 2028-2032              | 6,800,000            | 2,780,000        | 9,580,000         | 6,400,000                                   | 1,117,743        | 7,517,743         | 19,990,000                       | 7,467,408         | 27,457,408        |
| 2033-2037              | 9,440,000            | 1,013,800        | 10,453,800        | 1,940,000                                   | 90,153           | 2,030,153         | 16,580,000                       | 3,268,631         | 19,848,631        |
| 2038-2042              | -                    | -                | -                 | -                                           | -                | -                 | 7,355,000                        | 901,950           | 8,256,950         |
|                        | <u>\$ 18,010,000</u> | <u>7,348,800</u> | <u>25,358,800</u> | <u>26,529,500</u>                           | <u>4,630,250</u> | <u>31,159,750</u> | <u>72,580,000</u>                | <u>24,468,631</u> | <u>97,048,631</u> |

| Year ending<br>June 30 | State of Alaska Extension Loans |                  |                   | Totals             |                   |                    |
|------------------------|---------------------------------|------------------|-------------------|--------------------|-------------------|--------------------|
|                        | Principal                       | Interest         | Total             | Principal          | Interest          | Total              |
| 2023                   | \$ 1,776,530                    | 400,080          | 2,176,610         | 14,060,030         | 5,309,771         | 19,369,801         |
| 2024                   | 1,672,532                       | 353,069          | 2,025,601         | 12,118,532         | 4,724,481         | 16,843,013         |
| 2025                   | 1,501,760                       | 328,103          | 1,829,863         | 10,871,760         | 4,230,641         | 15,102,401         |
| 2026                   | 1,360,660                       | 305,456          | 1,666,116         | 8,895,660          | 3,801,428         | 12,697,088         |
| 2027                   | 1,360,660                       | 285,045          | 1,645,705         | 10,340,660         | 3,413,428         | 13,754,088         |
| 2028-2032              | 6,728,808                       | 1,120,303        | 7,849,111         | 39,918,808         | 12,485,454        | 52,404,262         |
| 2033-2037              | 6,100,168                       | 629,616          | 6,729,784         | 34,060,168         | 5,002,200         | 39,062,368         |
| 2038-2042              | 4,813,427                       | 186,589          | 5,000,016         | 12,168,427         | 1,088,539         | 13,256,966         |
|                        | <u>25,314,545</u>               | <u>3,608,261</u> | <u>28,922,806</u> | <u>142,434,045</u> | <u>40,055,942</u> | <u>182,489,987</u> |

Other long-term debt includes equipment, property and miscellaneous purchase agreements, lease agreements, and compensated absences. Future obligations include principal and interest due over the life of the commitments. Compensated absences are retired by the General Fund (96%) and the Special Revenue Funds – Lands (1%), Eaglecrest (2%), and Pools (1%).

|                                 | Balance at<br>June 30, 2021 | Current Year      |                   | Balance at<br>June 30, 2022 | Current<br>Portion | Long-term<br>Balance at<br>June 30, 2022 |
|---------------------------------|-----------------------------|-------------------|-------------------|-----------------------------|--------------------|------------------------------------------|
|                                 |                             | Issued            | Retired           |                             |                    |                                          |
| Governmental activities:        |                             |                   |                   |                             |                    |                                          |
| General Obligation Bonds        | \$ 18,010,000               | -                 | -                 | 18,010,000                  | -                  | 18,010,000                               |
| Direct Placement (GO)           | 37,155,000                  | -                 | 10,625,500        | 26,529,500                  | 7,018,500          | 19,511,000                               |
| Direct Placement (Revenue)      | 20,640,000                  | 5,725,000         | 8,130,000         | 18,235,000                  | 1,140,000          | 17,095,000                               |
| Other Direct placement debt     | -                           | -                 | -                 | -                           | -                  | -                                        |
| Unamortized bond premium        | 7,686,017                   | 1,524,363         | 1,634,863         | 7,575,518                   | 1,136,463          | 6,439,055                                |
|                                 | 83,491,017                  | 7,249,363         | 20,390,363        | 70,350,018                  | 9,294,963          | 61,055,055                               |
| Compensated absences            | 3,320,324                   | 7,189,916         | 5,014,941         | 5,495,299                   | 2,417,932          | 3,077,367                                |
| Total governmental activities   | 86,811,341                  | 14,439,279        | 25,405,304        | 75,845,317                  | 11,712,895         | 64,132,422                               |
| Business-type activities:       |                             |                   |                   |                             |                    |                                          |
| Direct Placement (Revenue)      | 39,075,000                  | 18,775,000        | 3,505,000         | 54,345,000                  | 4,125,000          | 50,220,000                               |
| State of Alaska extension loans | 23,690,825                  | 3,238,333         | 1,614,613         | 25,314,545                  | 1,776,530          | 23,538,015                               |
| Unamortized bond premium        | 1,933,744                   | 2,689,161         | 633,149           | 3,989,756                   | 663,904            | 3,325,852                                |
|                                 | 64,699,569                  | 24,702,494        | 5,752,762         | 83,649,301                  | 6,565,434          | 77,083,867                               |
| Compensated absences            | 2,984,356                   | 9,557,022         | 6,049,594         | 6,491,784                   | 3,627,518          | 2,864,266                                |
| Total business-type activities  | 67,683,925                  | 34,259,516        | 11,802,356        | 90,141,085                  | 10,192,952         | 79,948,133                               |
| Total long-term debt            | <u>\$ 154,495,266</u>       | <u>48,698,795</u> | <u>37,207,660</u> | <u>165,986,402</u>          | <u>21,905,847</u>  | <u>144,080,555</u>                       |